

Practice Quiz: Strategic Modeling — Module 07:

Communication

Name: ____ Date: ____

Part A: Multiple Choice

1. **Strategic narrative** is: A) A marketing brochure B) Communication designed to shape stakeholder generative models to align with the firm's strategic objectives C) A company biography D) Annual report
 2. A **credible signal** differs from cheap talk by being: A) Louder B) Costly or irreversible — hard to fake, therefore informative to recipients C) Written rather than spoken D) Official
 3. Tesla's strategic communication: A) Only targets customers B) Simultaneously shapes investor models (extending time horizons), customer models (building anticipation), and competitor models (detering entry) C) Is traditional advertising D) Targets regulators only
 4. **Brand equity** under Active Inference is: A) A financial metric B) The precision of the shared generative model between the firm and its customers — consistency of expectations C) A logo design D) Market share
 5. **Competitive signaling** through capacity expansion works because: A) Factories are impressive B) A costly, irreversible investment credibly communicates commitment to a market C) It creates jobs D) It impresses the media
 6. **Strategic ambiguity** is rational when: A) You're confused B) Preserving optionality is more valuable than committing to a specific position C) Communication is expensive D) You have nothing to say
 7. An investor narrative is credible when: A) It's optimistic B) It's consistent with operational evidence and backed by demonstrable commitment C) It promises high returns D) The CEO is charismatic
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Part B: Short Analysis

1. Design a strategic communication plan for a company pivoting from hardware to services. Address how the narrative should differ for: investors (patient capital needed), customers (continuity assurance), employees (new skills required), and competitors (intent signaling).
2. Analyze a public company's last earnings call as a signaling exercise. What was the narrative? What credible signals were offered? What was cheap talk? How would a competitor interpret the signals?
3. A startup wants to deter a large incumbent from entering its market. The startup has superior technology but limited resources. Design a signaling strategy leveraging the startup's strengths while managing its vulnerability.